Chua Ming Yuan:
Macro Outlook 27 Oct 2026

US Macro Outlook

Rates: yields attractive, but a sustained rally needs a catalyst. US Treasury yields have risen over the past quarter, driven by stronger AI-led growth expectations, firmer inflation and a more hawkish Fed. However, a sustained fixed income rally likely requires either lower energy prices or slower growth momentum. Rates markets remain highly regional, and I see opportunities to fade mispricing where local market concerns become overextended.

FX: asymmetric upside for the USD. I see tailwinds for the US dollar as the Fed embarks on a hiking cycle, particularly if global energy prices move materially higher. Conversely, would not expect lower energy prices to drive significant dollar weakness, as other central banks could cut interest rates more aggressively than the Federal Reserve

Growth

- Expect resilient near-term activity, slowing into 2027. The pressure on households shows in wages: average hourly earnings are up 3.0% y/y, but real hourly earnings are down 0.7% y/y. A falling real wage combined with 10-year yields at 5% points to below-trend growth in H1 2027
- Headline payrolls seem weak, however with immigration-driven labour supply growth near zero, sub-100k payroll prints are consistent with a stable unemployment rate. The labour market is in balance, not deteriorating, and it does not affect the Fed reaction function as much as the market is pricing

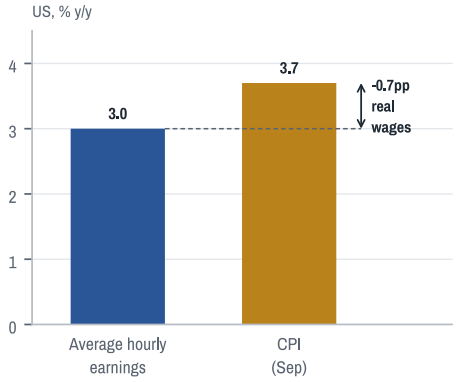
Inflation

- Expect US inflation to remain sticky and elevated over the next 12 months as oil prices stay high. US crude oil inventories fell 3.06 million barrels last week, versus expectations for a decline of just 324,000 barrels. I see the energy shock as a supply-side driver that is being passed through to consumer prices, rather than a one-off spike in headline inflation.
- September CPI confirmed rising energy prices being passed onto consumers. Headline CPI rose 0.6% m/m to 3.7% y/y, with gasoline up 9.1% m/m and energy up 20.4% y/y. Core rose 0.3% m/m against a 0.2% consensus. Higher fuel costs are feeding into services: airline fares rose 1.2% and transportation services 0.6% m/m.

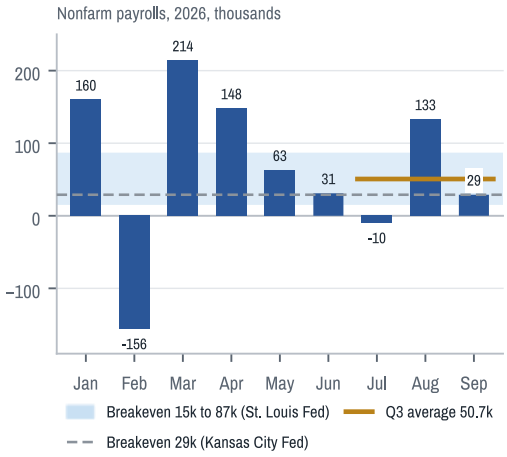
Upcoming Fed decisions

- Fed: October hold, December hike, January hike
- I expect the FOMC to hold at 3.75% to 4.00% on 28 October. Despite September's hot CPI print, Fed officials signalled patience on the timing of the next move rather than a change in direction. New York Fed President Williams indicated an additional hike could wait until December, and Bowman and Daly argued the Fed can wait for more information before the October meeting. Market-implied odds of an October hike rose from 23% to 50% after the CPI release, before falling back to 25% following these comments.
- I expect a 25bp hike at the 8 to 9 December meeting, taking the range to 4.00% to 4.25%. Core CPI surprised to the upside at 0.3% m/m, and supply-side pressures from higher energy costs are passing through to services. This is largely priced in with Futures assigning a 74.1% probability to a December hike, and every major broker in Reuters' 15 October poll expects one. I therefore see limited value in expressing a December view.
- I expect a further 25bp hike in January 2027, to 4.25% to 4.50%, then a pause. This is above the SEP median of 4.1%, but the energy shock that began in February is now passing through to core: core CPI is running at 3.4% on a 3-month annualised basis, and services ex-housing rose 0.35%, 0.41% and 0.34% m/m from July to September.

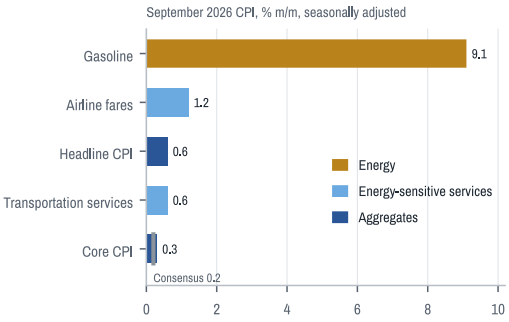
Real wages down, expect below trend growth



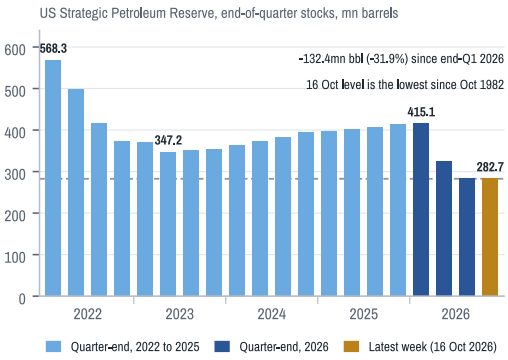
Nonfarm payrolls show labour market resilience



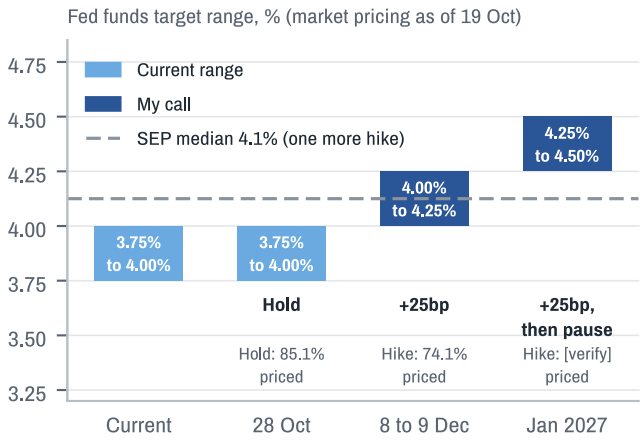
CPI showing energy shock bleeding into core



SPR drawdown turning unsustainable



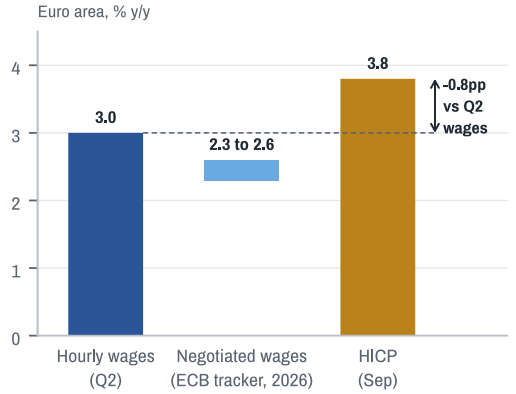
Fed September dot plot only showing 1 hike



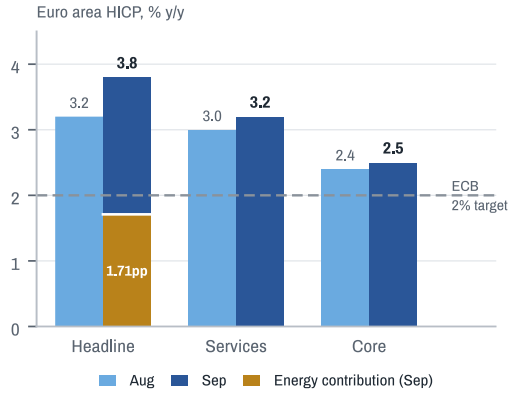
Expected path for EUR/USD



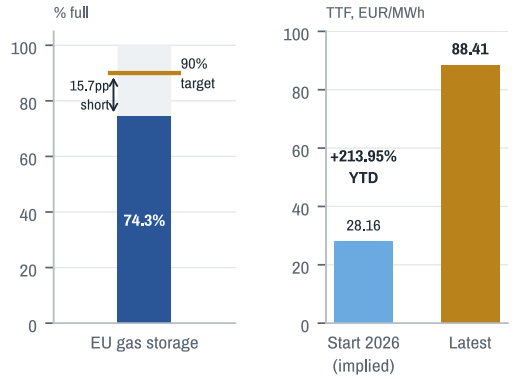
EU real wages turning negative



EU HICP largely driven by energy shocks



EU gas shortage; gas prices rising



Rates: expect the OAT-Bund spread to keep widening. French political instability and a lack of credible fiscal consolidation should keep pressure on OATs, with the 10Y OAT-Bund spread already at 150.8bp, it's widest since the euro debt crisis. Upcoming catalysts include S&P's review on 27 November and the budget votes through November, with spreads likely to stay wide into the 2027 French presidential election.

FX: bearish EUR. Markets price three more ECB hikes by September 2027, but I expect less tightening than priced. As that pricing is removed, euro rate expectations fall while the Fed stays on hold or hikes again, widening the differential in the dollar's favour. As a large energy importer, the euro area is also more exposed to elevated oil and gas prices. French political risk adds a further risk premium on the euro.

Growth

- Expect resilient near-term activity, with underlying growth weaker than the headline. Q2 GDP rose 0.6% q/q, but the upgrade was driven by Ireland, with Germany growing only 0.3% and France 0.2%.
- Households face a real income squeeze into 2027. Unemployment is stable at 6.4%, but hourly wage growth slowed to 3.0% y/y in Q2 from 3.4% in Q1, only matching inflation over the quarter. With inflation since rising to 3.8% and the ECB wage tracker pointing to negotiated wage growth of 2.3% to 2.6% for 2026, real wages are turning negative. Low gas storage heading into winter adds downside risk, and French fiscal consolidation will weigh on the region's second-largest economy.

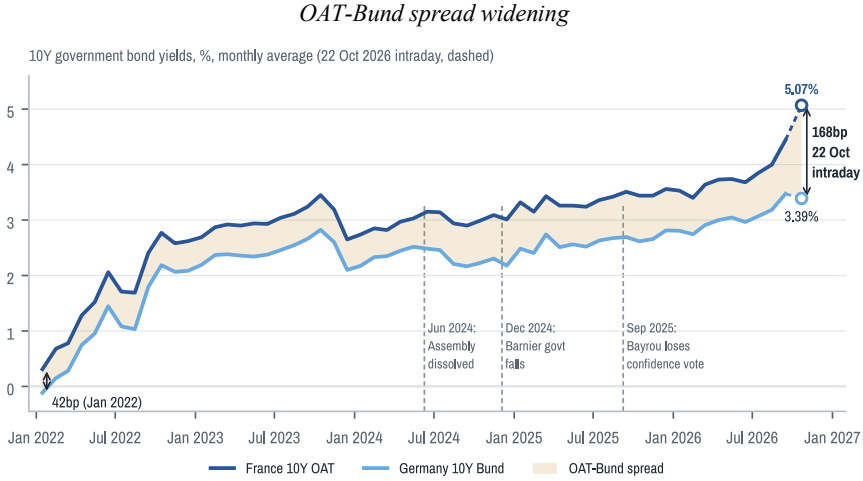
Inflation

- Expect euro area inflation to stay elevated as the energy shock persists. Headline HICP rose to 3.8% in September from 3.2%, with energy up 18.9% y/y and contributing 1.71pp. Gas markets remain tight: TTF is at €88.41/MWh, up 213.95% year to date, and EU storage is 74.3% full against a 90% target for 1 November, pointing to tight supply heading into winter.
- Pass-through to core has so far been limited, but I expect it to build over the next 12 months. Core inflation edged up to 2.5% from 2.4%, while non-energy goods eased to 1.1% and the ECB sees no second-round effects in wages yet. However, forward-looking indicators point to rising pass-through. The September PMI showed services output prices rising at their fastest pace since February 2024, with input costs at a four-month high, and services inflation has already risen to 3.2% from 3.0%. With gas supply tight into winter, I expect supply-side cost pressures to continue passing through to consumer prices.

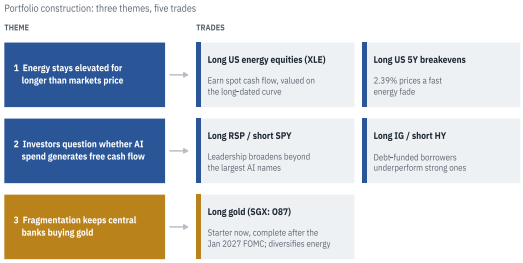
Upcoming ECB Decisions

- ECB: October hold, December hike, less tightening than priced in 2027
- I expect the ECB to hold the deposit rate at 2.50% on 29 October. Markets price a 93% probability of a hold. Governing Council members speaking in Bangkok last week kept October open but signalled December as the more likely timing, preferring to act at a meeting with new staff projections.
- I expect a 25bp hike on 17 December, taking the deposit rate to 2.75%. With energy pass-through set to build, the ECB has grounds to deliver one more hike pre-emptively
- Beyond December, I expect less tightening than markets price. Traders are betting on three more hikes by September 2027, but tighter financial conditions are already doing part of the ECB's work. While I expect supply-side pass-through to build, weaker demand from tighter financing conditions should cap how far it goes, limiting the need for a sustained hiking cycle. With French spreads at 150.8bp, further hikes would also add to fragmentation risk. I see the deposit rate peaking at 2.75%.

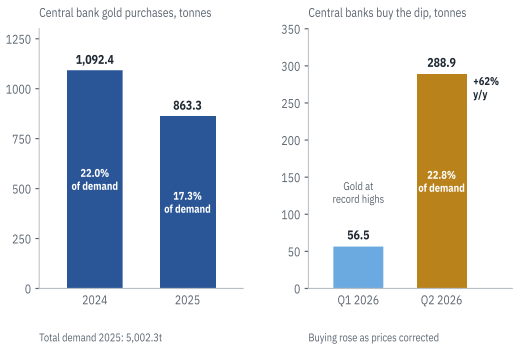
OAT-Bund spread widening



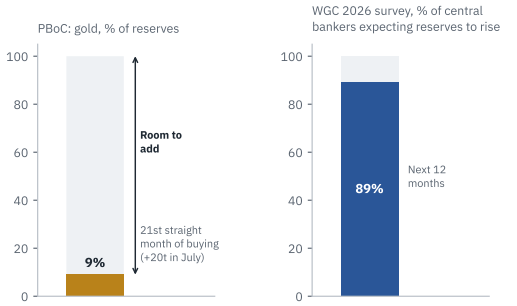
Portfolio construction themes



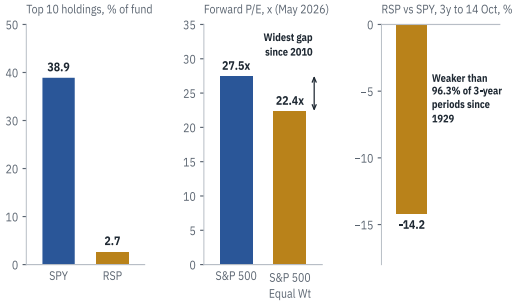
Central bank gold demand



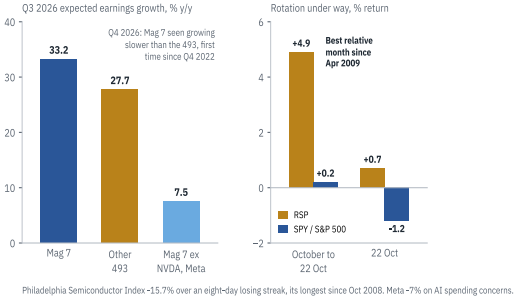
Breadth of central bank gold demand



RSP/SPY concentration levels



RSP/SPY Earnings Rotation



Portfolio Strategy

I take a top-down approach built on three themes I expect to drive markets over the next 12 to 24 months. First, energy prices stay elevated for longer than markets price: the Gulf supply disruption is worsening, and the US emergency reserve is near its lowest level since 1982. I express this through US energy equities (XLE) and 5-year breakevens. Second, investors are starting to question whether AI spending can generate enough free cash flow. I position for this through a rotation from cap-weighted to equal-weight US equities (RSP/SPY), and through a widening gap between high yield and investment grade credit as debt-funded borrowers come under pressure. Third, geopolitical fragmentation keeps central banks buying gold, which also diversifies the book: gold has fallen when oil rises, offsetting part of my energy exposure.

Long Gold

I recommend starting to accumulate gold now and completing the position after the January 2027 FOMC. Gold fell below $4,000 on 23 October, 28.7% below its January peak. The latest leg lower was forced selling during a tech selloff, not a change in fundamentals, and expectations of further Fed hikes are now falling. I would buy a starter position now and add once the hiking cycle ends. Over two to three years, we expect central bank buying to take gold back to its record. Express this view through SPDR Gold Shares on SGX (O87), the same physically backed trust as GLD, which tracks the LBMA Gold Price PM. It trades in Singapore and Asian hours, with an SGD counter (GSD) available.

Thesis

1. Gold pays no income, so higher rates raise the cost of holding it. Rate fears drove much of this year's decline, as higher oil prices raised inflation risks and pushed the Fed to hike. The latest leg below $4,000 came alongside a sharp tech selloff, and some analysts attribute it to liquidity-driven selling, with investors raising cash as equities fell. However, this doesn't change the case for central bank buying, so we treat weakness as an entry point. Because further equity weakness could bring more selling, we start with a small position and keep most of the capital for after the hiking cycle

2. Structurally, central banks put a floor under gold, and they buy the dips. Scale: Central banks bought 863.3t in 2025, 17.3% of total demand of 5,002.3t. In 2024 they bought 1,092.4t, 22.0% of demand. Price sensitivity: Buying fell to 56.5t in Q1 2026 while gold was at record highs. It then rose to 288.9t in Q2, 22.8% of demand. That was a 62% y/y increase, as prices corrected. Breadth: Poland's central bank has set a 700t target and bought 82t in H1 2026. The PBoC added 20t in July, its 21st consecutive month of buying, even though gold is only 9% of its reserves. The Bank of Korea started buying again in Q2, its first purchases in 13 years. Forward intent: In WGC's 2026 survey, 89% of central bankers expect global official gold reserves to rise over the next 12 months

3. Gold diversifies the portfolio. The rest of my trades are exposed to energy, AI and rates. Gold is the one asset that central banks are buying because they want less exposure to those same geopolitical and fiscal risks, and I would ride on these tailwinds to generate returns

Long RSP/SPY

I recommend a long Invesco S&P 500 Equal Weight ETF (RSP) / short SPDR S&P 500 ETF (SPY) pair to capture a broadening of US equity leadership away from AI and semiconductors. The rotation has started: in October, RSP is up 4.9% through Thursday against 0.2% for SPY, its strongest relative month since April 2009. I expect it to continue as earnings growth broadens beyond the largest AI names. RSP rebalances quarterly, so it systematically sells winners and buys laggards.

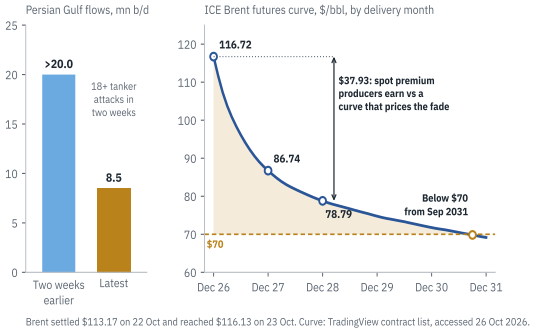
Thesis:

1. The index is concentrated and expensive at the top. The top 10 holdings account for 38.9% of SPY, against 2.7% of RSP. At end-2025, the top 10 were about 40% of index weight but about 32% of earnings, so investors are paying for weight that earnings do not support. In May 2026, the cap-weighted index traded at 27.5x forward earnings against 22.4x for equal weight, the widest discount since 2010. Equal weight also starts near a historical extreme: over the three years to 14 October, RSP trailed SPY by 14.2%, weaker than 96.3% of three-year periods since 1929

2. Earnings growth is broadening. FactSet expects Magnificent 7 earnings growth of 33.2% in Q3 2026, against 27.7% for the other 493 companies. That lead is narrow: excluding NVIDIA and Meta, the other five are expected to grow just 7.5%. For Q4 2026, analysts expect the Magnificent 7 to grow earnings more slowly than the other 493 for the first time since Q4 2022, which I see as the turning point for relative performance

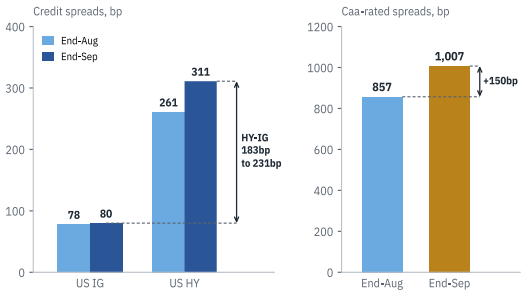
3. Markets are questioning the cost of AI, and the rotation has room to run. The Philadelphia Semiconductor Index(SOXX) fell 15.7% in an eight-day losing streak, its longest since October 2008, and Meta fell 7% on Thursday on concerns about its AI spending. The rotation is already visible: on 22 October, RSP rose 0.7% while the S&P 500 fell 1.2% as investors begin to position themselves in more defensive equities

Energy Supply Shock

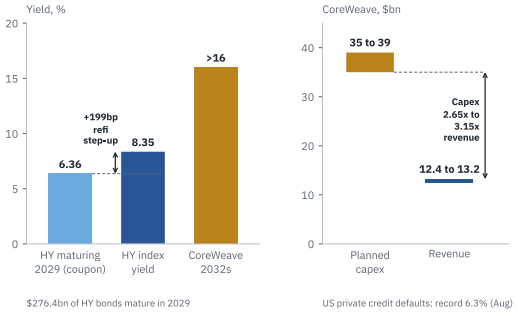


Brent settled $113.17 on 22 Oct and reached $116.13 on 23 Oct. Curve: TradingView contract list, accessed 26 Oct 2026.

Credit quality splitting



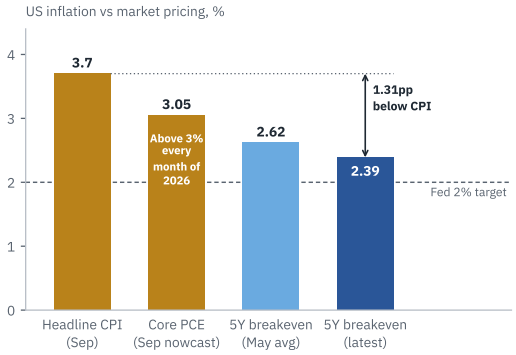
Coreweave credit quality under question



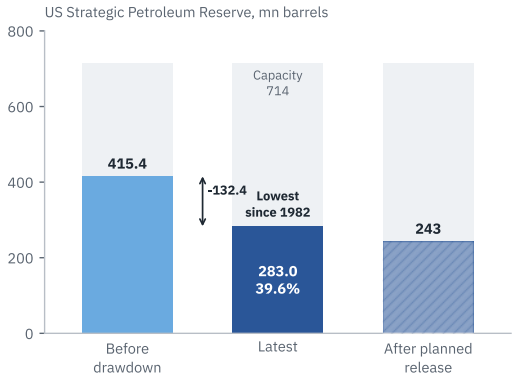
$276.4bn of HY bonds mature in 2029

US private credit defaults: record 6.3% (Aug)

US inflation vs market pricing



SPR being put under pressure



Refill: the Energy Secretary says up to 200mn barrels could be replaced over the next year, adding demand

Long US Energy Equities (XLE)

We recommend a long position in US energy producers through the Energy Select Sector SPDR ETF. (XLE) Brent has risen to six-month highs on renewed supply disruption, yet the futures curve prices a steady return toward $70 and below. Energy equities are valued on that long-dated price, not on spot. This lets us collect cash flow from today's elevated prices while carrying less downside than oil futures if the conflict de-escalates. XLE yields 2.80%, and we hold it as a long-term income position.

Thesis:

1. The supply shock is worsening, not fading. Brent futures reached $116.13 on 23 October, the highest since April 30, and are on track for a third consecutive weekly gain. Flows out of the Persian Gulf fell to 8.5 million barrels a day, from more than 20 million two weeks earlier, after at least 18 tanker attacks in two weeks. The New York Times reports that the US and Israel have plans for fresh strikes on Iran after the midterm elections, which points to elevated prices into 2027.

2. Equities price the fade, so the risk is skewed in our favour. The Brent curve slopes from about $100 for late-2026 delivery toward the high $70s by 2028, so the market expects the disruption to be temporary. Energy companies are valued on those long-dated prices, while they earn today's spot prices. If disruption persists, long-dated prices rise and the sector re-rates. If it ends, spot falls toward a level the equities already assume, which limits the downside.

3. The sector returns cash. XLE's 2.80% dividend yield is well above the S&P 500's, and buybacks add to the total return. Producers earning $100-plus oil while trading on $70 long-term assumptions generate surplus free cash flow, which is the income stream our portfolio is designed to collect.

Long IG / Short HY credit

I recommend trading on the idea that the gap between US high yield and investment grade credit spreads will keep widening. The gap jumped from 183bp at the end of August to 231bp at the end of September, because junk spreads widened 50bp while high-quality spreads barely moved. I expect this to continue as higher rates squeeze companies with too much debt, while strong companies stay largely unaffected. Because I hold both sides, I am not betting on the direction of credit markets overall, only on weak companies underperforming strong ones.

Thesis:

1. Credit markets have started to split by quality. In September, US high yield spreads widened from 261bp to 311bp, while investment grade spreads moved just 2bp, to 80bp. That took the gap between them from 183bp to 231bp in a single month. The weakest borrowers were hit hardest: Caa-rated spreads widened 150bp, to 1,007bp. I expect this split to continue, because the pressure comes from higher rates and slower growth, which hurt companies with too much debt far more than strong companies.

2. Weaker borrowers face rising defaults and a refinancing squeeze. The US private credit default rate reached a record 6.3% in August, as struggling companies push out their loan maturities to avoid missing payments. The same pressure is building in public markets. High yield issuers have $276.4bn of bonds maturing in 2029 at an average coupon of 6.36%, while the index now yields 8.35%. Refinancing will raise interest costs sharply for junk companies, while investment grade borrowers face a much smaller increase.

3. AI risk is spreading from equities into credit. Equity investors have started to question whether AI spending will generate enough free cash flow: the Philadelphia Semiconductor Index fell 15.7% in an eight-day losing streak, its longest since October 2008. Credit is following. CoreWeave's 2032 bonds yielded more than 16% in mid-October, as it plans $35bn to $39bn of capex against revenue of $12.4bn to $13.2bn. Over the next 12 months, I expect wider spreads, led by debt-funded AI borrowers rather than hyperscalers that fund spending from cash flow.

Long US 5-Year Breakevens

I recommend a long position in US 5-year breakeven inflation. I buy 5-year TIPS and sell 5-year nominal Treasuries in matched amounts, so the trade profits if the market's inflation expectations rise, whichever way yields move. At 2.39%, the market prices inflation falling quickly back toward target. I expect energy prices to stay elevated for longer than that implies: the supply disruption in the Gulf is worsening, and the US has largely used up the emergency reserve it drew on to cap prices.

Thesis

1. The energy supply shock is getting worse, not better. Brent settled at $113.17 on 22 October, its highest close since early May, and reached $116.13 the next day. Flows out of the Persian Gulf fell to 8.5 million barrels a day, from more than 20 million two weeks earlier, after a wave of tanker attacks. Reports that the US and Israel plan fresh strikes on Iran after the midterm elections suggest the disruption will extend into 2027, keeping energy costs feeding into US inflation.

2. The US can no longer lean on its emergency oil reserve. The Strategic Petroleum Reserve has fallen to 283.0 million barrels, its lowest level since 1982 and 39.6% of capacity, down from 415.4 million before the drawdown began in March. Completing the planned release would take it to 243 million barrels, leaving little left to cap prices if supply worsens. Refilling it will also add demand: the Energy Secretary has said the department could replace around 200 million barrels over the next year.

3. The market prices inflation too low. Headline CPI rose to 3.7% in September, and core PCE inflation has been above 3% in every month of 2026. Yet the 5-year breakeven, at 2.39%, implies inflation averaging just 2.39% over the next five years. Breakevens have already fallen from an average of 2.62% in May, so the market has priced a fast energy fade. If energy stays elevated as I expect, realised inflation will exceed that pricing and breakevens should rise.